

Strategy & Objective

The investment strategy of the Arculus Fixed Income Fund is to identify appropriate investments from the pool of Australian sovereign and Australian senior bank bonds that are expected to generate a sufficiently high yield, commensurate with the assumed risk, with minimum volatility of returns. The Fund is not benchmark aware so is without a duration target. It is focused on achieving an absolute return of the 90-day BBSW rate plus 150bps. The Fund may be appropriate for investors seeking a medium risk investment over a minimum 3-year period.

The Fund aims to provide income and capital stability and a high degree of liquidity in all market conditions. The total return will mainly comprise income from security income payments. The target rate of return is the 90-day Bank Bill Swap Rate plus 1.5% before fees.

ESG

Environmental, Social and Governance issues form part of the risk analysis framework. For further information on Arculus' ESG policies and practices, visit <https://arculus.com.au/environment-social-and-governance/>.

Fund details

DDH Graham Limited (DDH) is the responsible entity of the Fund. As responsible entity, DDH is responsible for the management and administration of the Fund, including the issue of the Fund's Product Disclosure Statement and all other public announcements concerning the Fund.

DDH has appointed GCI Australia Pty Ltd ABN 68 140 364 576 (GCI) as the Fund's outsourced investment manager. Arculus Funds Management Pty Ltd (Arculus), a wholly owned subsidiary and Corporate Authorised Representative of GCI undertakes the investment management activities for the Fund.

APIR Code DDH8305AU
ARSN 622 419 578

Fund availability

This Fund can be accessed by investing directly, or indirectly, using the BT Panorama, Allan Gray, HUB24, and Netwealth platforms.

Fees

MER*	0.40%
Buy/Sell Spread	+0.10% / -0.10%
Performance Fees	Nil

* GST inclusive, net of any reduced input tax credits

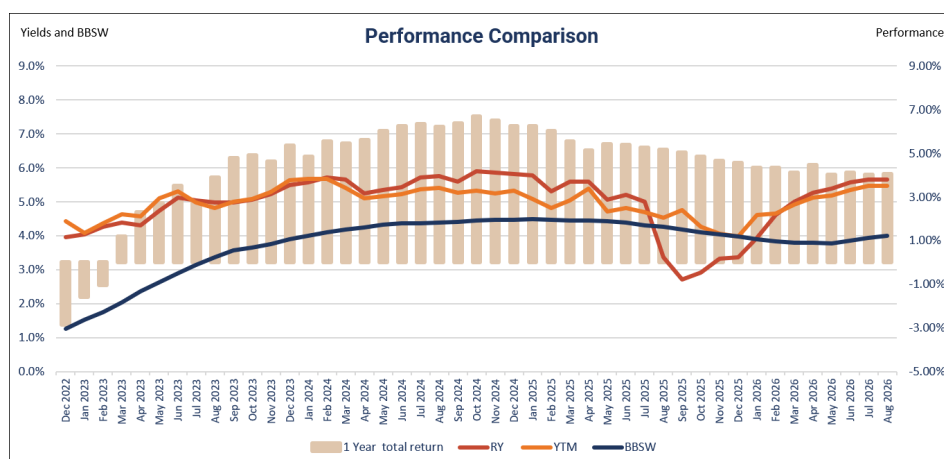
Performance to 31 August 2026

	3M	6M	1Y	2Y	3Y	5Y	Since Inception
Total Return	1.23%	1.91%	4.05%	4.61%	5.14%	2.86%	2.38%
Cash Distribution	0.85%	1.81%	3.71%	4.76%	4.75%	3.61%	2.81%
+/- Growth	0.38%	0.10%	0.34%	-0.15%	0.39%	-0.75%	-0.43%

The Fund is benchmark unaware, but the target rate of return is the 90-day Bank Bill Swap Rate plus 1.5% before fees.

Fund returns are net of all fees. Returns greater than 2 years are annualised. Returns are calculated using exit prices and are calculated after all fees and costs have been deducted; assumes any distributions are reinvested and no allowance made for tax. The 'distribution' component represents the amount paid by way of distribution, including net realised capital gains. Numbers may not sum due to rounding. Past performance is not an indicator of future performance.

The inception date of the Fund was 16 November 2017.



Source Arculus, DDH Graham Limited data.

The Fund returned 36 basis points (bps) after all fees in August. Returns for unitholders were driven primarily by the income received from bond coupons. Performance over the next few months will continue to be driven primarily by the running yield, currently 5.75%, and will remain linked to the 90-day BBSW rate. This is a cash-like fund option for investors. It can hold only Australian dollar sovereign and bank senior bonds that have qualified to be repo eligible when issued. Repo-eligible bonds are those that an authorised deposit-taking institution (ADI) can convert into high quality liquid assets through lending them to the RBA. As such they are highly liquid.

Fund rating

The Fund has been rated Investment Grade by Lonsec.

Fund ratings are not a recommendation and are subject to change.

Fund size

As of 31 August 2026, the Net Asset Value of the Fund was \$40,942,217.89.

Portfolio characteristics 31 August 2026

Running Yield*	5.75%
Yield to Maturity*	5.50%
Average Margin	0.95%
Average Years to Maturity	1.93
Number of Securities Held	44
Floating	95.52%
Fixed	2.47%
Cash	2.01%
Modified Duration	0.15
Credit Duration	1.95

* Based on portfolio metrics (pre fees) at review date. Future fund returns may be different.

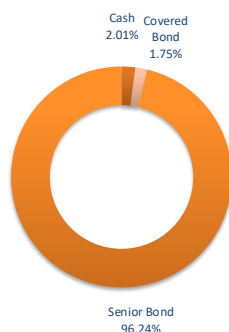


Lonsec

Asset breakdown

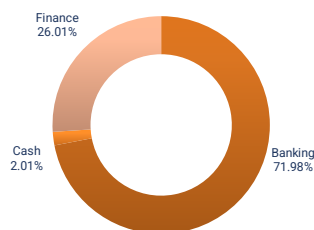
Sub Type Analysis

■ Cash ■ Covered Bond ■ Senior Bond



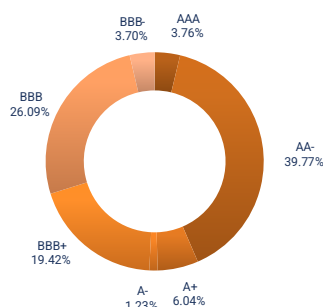
Sector Allocation

■ Banking ■ Cash ■ Finance



Credit Rating

■ AAA ■ AA- ■ A+ ■ A- ■ BBB+ ■ BBB ■ BBB-



Fund positioning

August was a month of extension. The portfolio remains entirely senior and covered paper, entirely investment grade, and effectively entirely floating rate. What changed is the shape. The addition of a five-year major bank senior line at 7.3% of the Fund lifted credit duration by 0.21 years, pulled 5.2 percentage points out of the twelve-month maturity bucket, and tightened the average traded credit margin by 13bps. This is the first material extension of the book in several months and it was funded from the front end.

The Fund now holds 44 securities against 45 at July. Concentration remains modest, with the five largest holdings accounting for 31.7% of the Fund and no single line above 7.4%.

Running yield

Running yield rose 9bps from 5.66% to 5.75%. Roughly half the move is mechanical, with the 90-day BBSW rising 4bps over the month from 4.51% to 4.55% and resetting through a book in which effectively every holding carries a coupon linked to it on a quarterly basis. The balance is composition. The weighted average issue margin carried by the book is 1.27%, well above the 0.84% at which the book currently trades, and the higher coupon regional and mutual bank paper added over recent months continues to lift the income run rate even as traded margins compress.

Yield to maturity

Yield to maturity rose from 5.48% to 5.50%, an increase of 2bps, while average credit margin fell from 0.97% to 0.95%, a decrease of 2bps. Since BBSW rose 4bps over the month, the whole of the move in yield to maturity and more is a credit margin move. A material part is mix, since the new five-year major bank line was added at a traded margin of 0.67% against a book average of 0.97% entering the month, and at 7.3% of the Fund it pulls the average down on its own.

Fixed vs. Floating

Floating rate exposure eased to 95.52% from 96.10%, with fixed unchanged at 2.47% and cash rising to 2.01% from 1.43%. The Fund does not hold hybrid, subordinated or perpetual paper and takes no fixed rate position of consequence. The two lines classified as fixed remain the same two National Australia Bank holdings, together 2.47% of the Fund, and both are modelled with rate duration of 0.21 to 0.22 years, which places them squarely inside the range of the floating rate cohort. On that basis the effective floating weight is 97.99%.

Duration

Modified duration rose from 0.08 years to 0.15 years. For a book of this construction that figure measures the average time to the next coupon reset rather than any meaningful exposure to the level of interest rates, and it should not be read as a duration position. In days, the average time to reset moved from roughly 29 days in July to roughly 58 days in August, which is a function of where the book sits in the quarterly coupon cycle at the reporting date and nothing more. Individual line rate durations run from zero to 0.24 years with the dispersion explained entirely by days to next coupon.

The relevant measure is credit duration, which rose from 1.74 years to 1.95 years, an increase of 0.21 years. Natural roll-down of approximately 0.08 years was more than offset by the new August 2031 line.

Average years to maturity

Average years to maturity lengthened from 1.89 years to 1.95 years, an increase of 0.06 years, with the new five-year line contributing approximately 0.37 years of extension against roll-down and the loss of one holding.

Credit quality

The Fund remains entirely investment grade. Exposure rated AA- or better fell from 45.2% to 43.5% while the BBB band rose from 47.6% to 49.2% and the single A band was little changed at 7.3%.

Sector and structure

By sub type the book is unchanged in character. Senior bonds eased from 96.8% to 96.2%, covered bonds were broadly steady at 1.7%, and cash rose from 1.4% to 2.0%. By sector, banking rose from 69.1% to 72.0%, and finance fell from 29.5% to 26.0%, reflecting the classification of the new major bank line. There is no exposure outside banking, financials and cash, which is the intended construction for a cash alternative mandate.

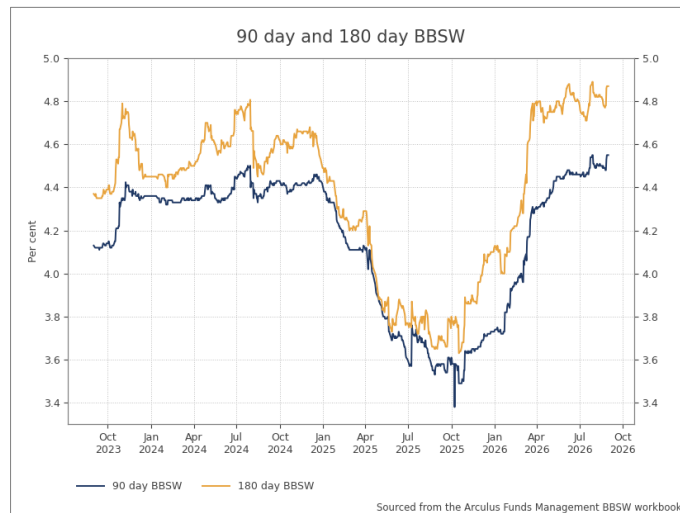
Liquidity

The whole of the portfolio is classified as investment grade senior for liquidity purposes. Under the low stress and moderate stress assumptions the entire book is modelled as liquidating within seven days. Under the extreme stress assumption the same holds, with cash settling in one day and securities in three. No holding sits in a liquidity category requiring more than seven days to realise.

Market review & outlook

Policy and the short rate

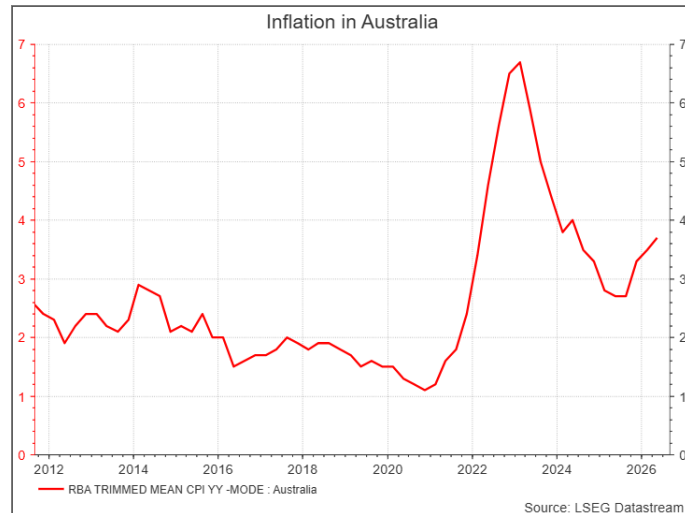
The Reserve Bank left the cash rate target at 4.35 per cent on 11 August in a unanimous decision, extending the pause that began in June following three increases earlier in the year. The accompanying statement retained an explicit tightening bias, noting that headline inflation remains too high, that trimmed mean inflation is little changed from the March quarter, and that the Board would raise the cash rate target further if upside risks materialise.



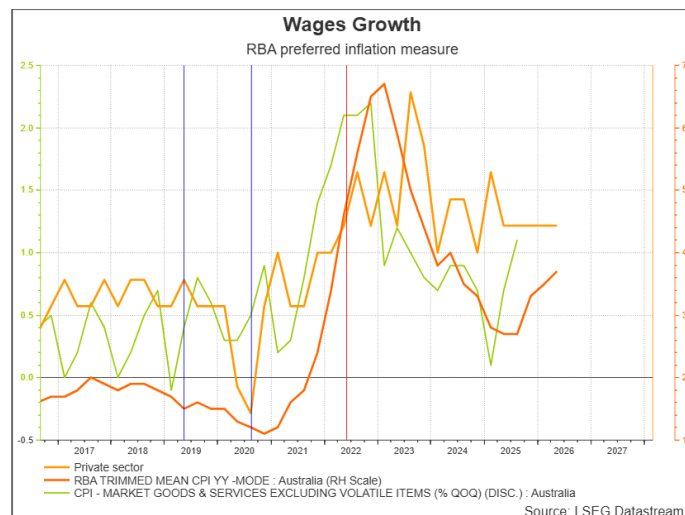
Both tenors ground sideways through 2024, with 90-day BBSW pinned close to 4.35% and 180-day BBSW carrying a term premium of 20 to 25bps. The easing cycle is visible from late 2024 and the 180-day rate led the way down, as it invariably does at a turning point. The trough came in the second half of 2025 at 3.49% for the 90-day rate and 3.63% for the 180-day rate.

The reversal has been considerably sharper than the decline that preceded it. From the low, 90-day BBSW has added roughly 106bps to close August at 4.55% and 180-day BBSW has added roughly 124bps to close at 4.87%. Both now sit at or above the highs of the 2024 plateau.

The spread between the two tenors is the more useful signal. It compressed to almost nothing at the bottom of the cycle, widened beyond 45bps around the February and March 2026 increases, and finished August at 32bps. That is wide relative to the last three years and is consistent with the bill strip carrying close to a full further increase within the next two quarters. For a floating rate portfolio, the level of the 90-day rate determines the current accrual and the spread to the 180-day rate indicates what the market expects the next reset to deliver.

Inflation and wages

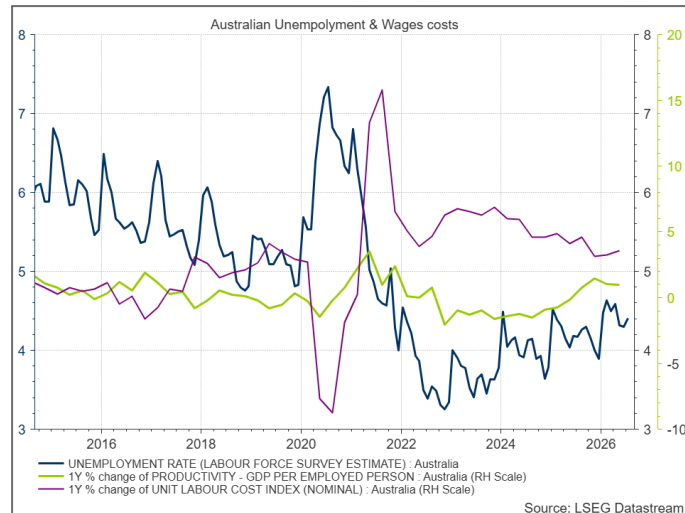
The trimmed mean measure troughed a little below 2.7% in late 2025 and has since re-accelerated to 3.6%. The July monthly release confirmed headline inflation at 3.5%, down from 3.8% in June, but left the trimmed mean unchanged at 3.6% for a third consecutive month. The market response was hawkish and correctly so. The disinflation in the headline series is being carried by the automotive fuel component, which the Bureau has excluded from the trimmed mean every month since March, while the underlying series has simply stopped improving.



Wage outcomes are consistent with that picture. The Wage Price Index rose 0.8% in the June quarter and 3.2% through the year, with the private sector component at 0.7% for the quarter. The chart shows the private sector series turning up from its trough rather than continuing to decelerate, and market goods and services inflation excluding volatile items has followed the same path off its low.

We continue to treat measured inflation expectations as a poor explanatory variable for either curve moves or wage outcomes. What matters here is considerably simpler. The policy rate has not been set at a level that generates the excess capacity required to return the trimmed mean to the band, and a Taylor Rule calibration on the current combination of a 3.6% core rate and a 4.5% unemployment rate continues to point to a cash rate target something in the order of 100bps above where it presently sits.

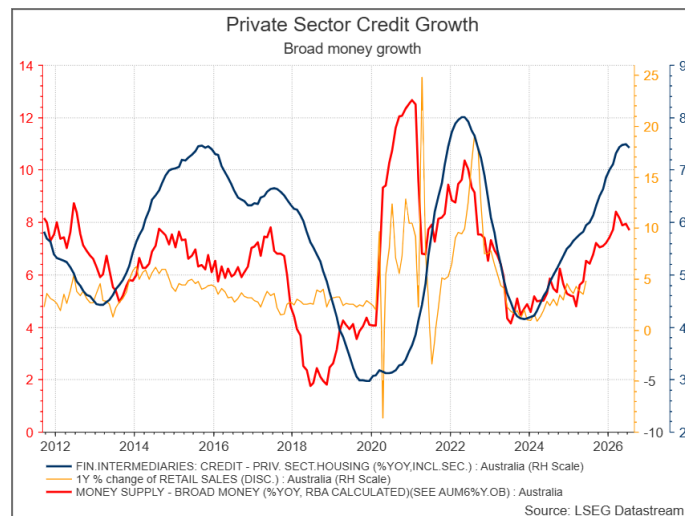
The labour market



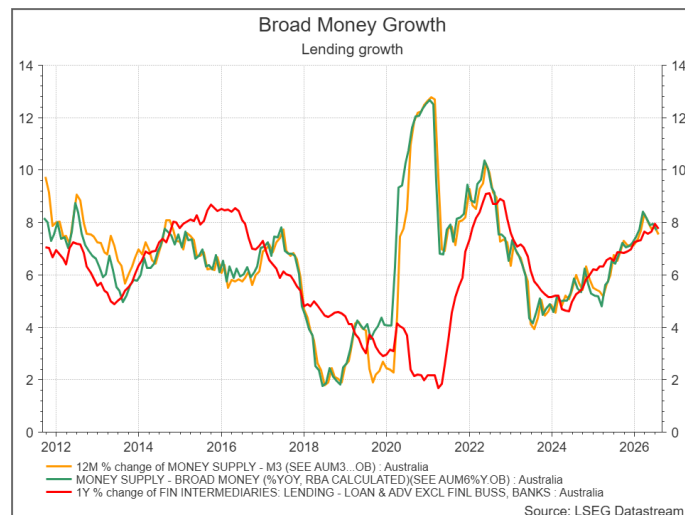
The July labour force survey released on 20 August recorded a 15,800 fall in employment and lifted the unemployment rate to 4.5%, the highest reading of the post pandemic period. The participation rate and the employment to population ratio each fell two tenths, to 66.9% and 63.9%, and hours worked declined 0.6% against an employment fall of only 0.1%. Underemployment eased a tenth to 6.4%.

The market read the release as removing the September meeting from consideration and it probably does. It does not remove the tightening bias. The chart makes the more durable point. Unit labour cost growth, having peaked near 16% in 2021, has receded only to the mid 3% area, and the improvement owes at least as much to a recovery in output per employed person from negative territory as it does to any moderation in wages. Productivity growth of a little over 1% is a fragile foundation on which to forecast disinflation.

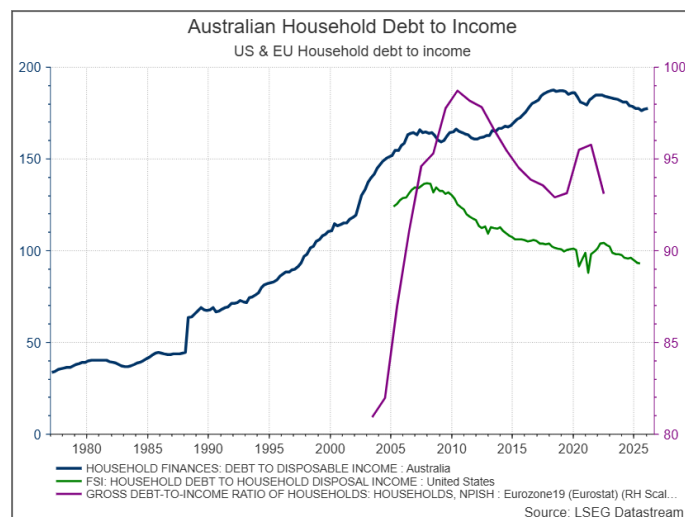
Money, credit and the household balance sheet



The most striking series in this month's set is housing credit. Credit extended by financial intermediaries to the private housing sector, including securitised loans, is now growing at roughly 7.5% through the year. That is the fastest rate since 2015, and it is occurring with the cash rate target at 4.35% and 90-day BBSW at 4.55%. Whatever restriction the current policy setting is imposing on the household sector, it is not visible in the credit aggregates. The Westpac reading of the July ADI statistics supports the point at the issuer level, with Macquarie Bank running three-month annualised housing loan growth of 19.7% and a cohort of mutuals continuing to grow above system.

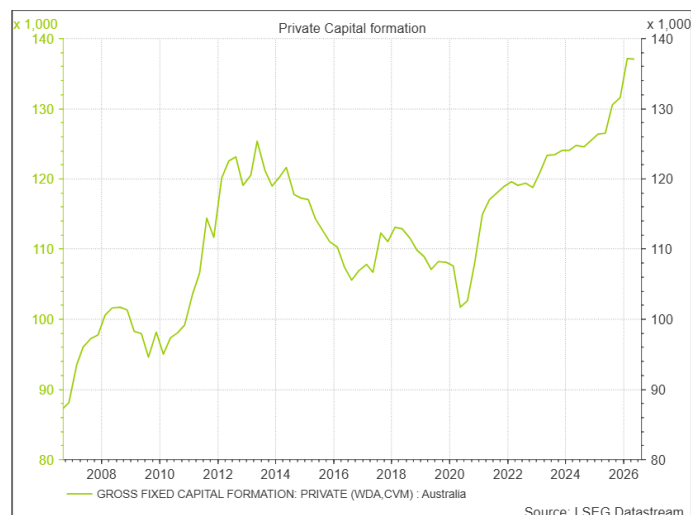


The monetary aggregates tell the same story. Broad money, M3 and bank lending excluding financial businesses have converged near 8% through the year, having troughed close to 4% in 2024. A monetary expansion running at 8% against nominal output growth materially below that is not a disinflationary configuration, and it is difficult to reconcile with the description of policy as restrictive.

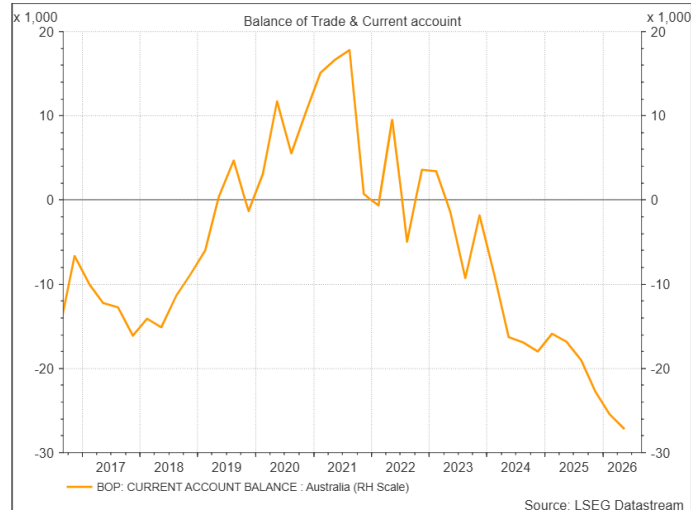


Australian household debt to disposable income has eased from its 2019 peak near 187% to about 177%, a reduction achieved through nominal income growth rather than through repayment. The international comparison remains stark. The equivalent United States ratio sits near 93% and has fallen almost continuously since 2008, and the Eurozone series has also moved decisively lower. With housing credit now growing at 7.5%, the slow improvement in the Australian ratio is unlikely to persist.

Investment and the external accounts

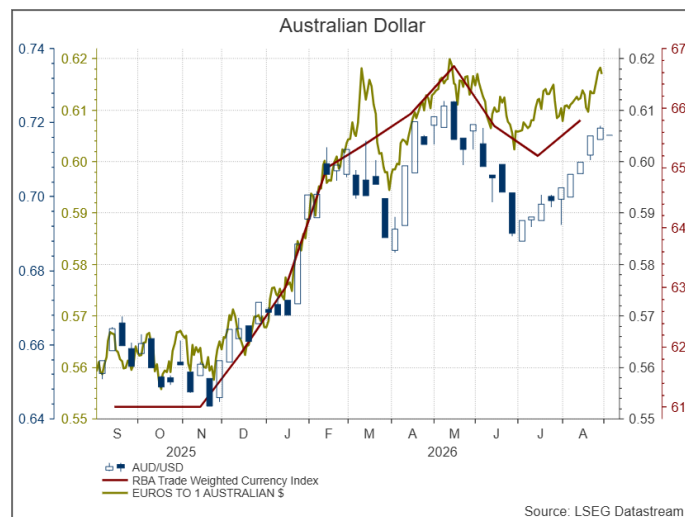


Private gross fixed capital formation reached a record of approximately A\$137bn in the quarter, having risen almost without interruption from A\$102bn in mid-2020. The June quarter capital expenditure survey released on 27 August showed a 3.6% quarterly fall in seasonally adjusted volume terms but a 10.7% increase through the year. The composition matters more than the headline. Buildings and structures rose 2.1% on data centre construction and the commencement of new renewable energy projects, while equipment and machinery fell 8.9% on a 53.0% reversal in information media and telecommunications following the previous quarter's data centre equipment surge. The third estimate of planned capital expenditure for the 2026-27 year was revised to A\$200.7bn, 15.5% above the second estimate.



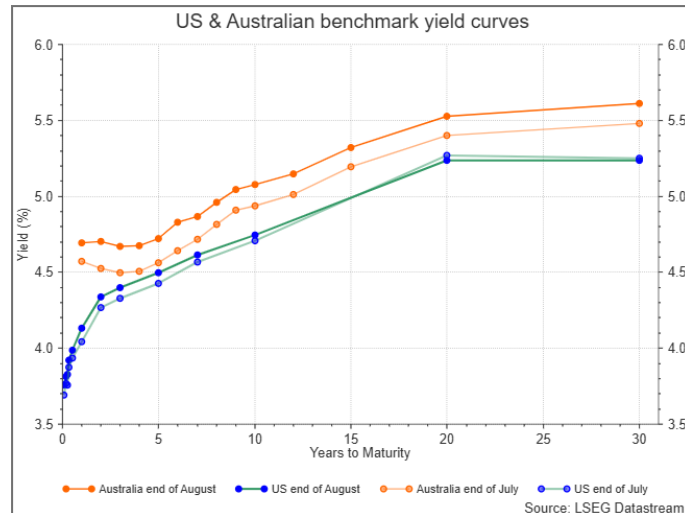
The counterpart sits on the external account. The current account deficit has widened to roughly A\$27bn during the quarter, the widest of the period shown and a complete reversal of the A\$17bn surplus recorded in 2021. Australia is once again a substantial net importer of capital at precisely the point at which its domestic investment pipeline is expanding. That combination has a direct market consequence, which is that the marginal buyer of Australian dollar paper is increasingly an offshore one. It is already visible in the record Kangaroo supply discussed below and it is a structural argument for a steeper local curve over time.

The currency



The Australian dollar appreciated through August to close near 0.717 against the United States dollar, its firmest level since May, with the trade weighted index and the euro cross recovering in parallel. The driver was domestic rather than external. Australia now carries the highest policy rate in the G10 and the front-end repricing in the final week of the month widened that advantage further.

We continue to regard the Australian dollar and yen cross as a more important channel into the Australian long end of the yield curve than any domestic expectations measure. A firmer Australian dollar on a trade weighted basis is consistent with carry demand persisting rather than unwinding, and on our framework that is one reason the 20- and 30-year sectors kept pace with the August selloff rather than leading it. The risk to that view has not changed. It arrives through the yen, not through the Reserve Bank.

Government bond curves

The Australian curve shifted higher by 13 to 18bps at every point, with the largest moves in the three-to-five-year sector. Ten-year yields closed near 5.08% against 4.93% at the end of July and 30-year yields closed at 5.61% against 5.48%. The United States curve barely moved. Ten-year Treasuries finished within a basis point of their end July level and the 30-year was unchanged, with the entire American adjustment confined to the first three years.

Two observations follow. The first is that August was an Australia specific repricing driven by domestic policy expectations rather than a global term premium event, which is what the near parallel shape of the Australian move and the near absence of a United States move together imply. Had this been a term premium event the long end would have led, and it did not. The second is that the Australian 10-year spread to Treasuries widened from roughly 22 to 36bps, and the three-year spread from 17 to 29bps, which is a very substantial move in a single month and one that has done real work in supporting the currency.

We would also draw attention to the small inversion at the very front of the Australian curve, where the one-year point at 4.70% sits above the two- and three-year points near 4.67%. The market is pricing near term tightening followed by eventual relief. We are not confident the relief arrives on the timetable implied, and that scepticism is one of the reasons we prefer to earn the front end through resets rather than to lock it in through short, fixed positions.

Credit indices

The Australian iTraxx five-year index closed August near 67bps, some 4bps tighter on the month and roughly 26bps inside its March peak of 93.5. The North American banks index finished near 56bps, close to unchanged on the month and only a few basis points above its January low of approximately 50bps.

This is the central observation for the Fund this month. Credit risk premia have fully retraced the Middle East shock and now sit at or near cycle highs, while the risk-free rate sits at multi decade highs. Essentially all the yield available in Australian credit is currently being generated by the base rate. Spread is contributing very little to total return and, more importantly, it offers very little cushion against a widening. That is an argument for shortening spread duration rather than for reducing credit exposure, and it is the distinction that matters.

Bank paper and primary supply

The domestic major bank senior curve underperformed the global backdrop, closing 2 to 4bps wider across the month. The one-year point moved from 37 to 39bps, the three-year from 56 to 58bps and the five-year from 64 to 68bps.

The proximate cause was supply. ANZ, Commonwealth Bank and Westpac together raised A\$8.25bn across senior and Tier 2 during the month. Net senior and covered issuance were nonetheless the lowest since March at A\$852m, so the pressure was less about net paper than about competition for secondary bids. Alphabet's inaugural Australian dollar transaction on 19 August, A\$5.5bn across three-, five-, 10- and 20-year tranches with the longest priced to yield 6.98%, was the largest corporate deal ever executed in this market. Almost two thirds of it was placed at five years and shorter, directly in the sector where domestic bank paper competes for the same bids.

Mutual bank paper was the outperformer, closing three to five basis points tighter across the sector on domestic middle market demand and a light senior calendar, with issuers favouring Tier 2 and residential mortgage-backed securities. The average basis to the majors compressed toward 40 and 45bps at the three- and five-year points respectively, which is the tightest we have seen this cycle. AMP Group lines were the strongest performers following the upgrade to BBB+ from BBB by Standard and Poor's, with the November 2026 and November 2027 maturities closing 15 to 20bps tighter. The sector then gave back three to six basis points at the end of the month after Great Southern Bank priced a five year at BBSW plus 123bps, a concession of roughly 55bps to majors.

The July ADI statistics showed system deposits up 0.8% following a 1.5% gain in June. Household deposits rose 1.9%, reversing a 0.8% June fall and returning three-month annualised growth to 5.1% against an annual rate of 7.6%. Business deposits fell 1.7%, partially unwinding the 3.6% lift into tax year end. The system funding gap remains A\$34.5bn higher on a year-to-date basis and the deposit to loan ratio has returned to 84.9%. The proposal to lift the covered bond issuance cap from 8 to 12% of domestic assets remains an item to watch, since it would create meaningful capacity for a number of mid-tier ADIs that do not currently run a programme, and additional covered supply would over time widen senior unsecured spreads for those issuers. We do not, however, expect mid-tier ADIs with loan books below \$30bn to issue covered bonds as they are not large enough to issue them.

These comments reflect the Manager's current views as at the date of this report. These views are subject to change and are not guarantees of future performance.

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